VELMORA BANK · CREDIT-CARD RISK REVIEW

# Why credit-card late payments are rising, and what to do

The 30+ DPD rate went from 2.87% to 4.84% in 13 months. Where it comes from, whom Collections should call, and how we should approve cards.

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# The rise is a channel problem: approve co-brand cards differently, and call late accounts earlier

| QUESTION | WHAT WE FOUND | WHAT TO DO |
|---|---|---|
| **Where is the rise coming from?** | New Fintech co-brand cards: +786 of the +983 extra late accounts, and 2.4–3.0× worse at the same bureau score. | **Partnerships + Risk:** review the co-brand partner's approval and onboarding. |
| **Whom should Collections call?** | A call adds +8.6 pts of cures at 1–29 days late and +5.7 at 30–59, but today's queue calls accounts 90–150 days late. | **Collections:** call by loss avoided. +Rs 11.0 lakh a month, same team. |
| **Should we approve fewer cards?** | Not fewer, differently: a separate co-brand cut-off gives a 3.13% bad rate vs 3.40%, at the same 90% approval. | **Credit Policy:** a separate co-brand cut-off. 269 vs 208 bad cards avoided. |

# Late payments rose from 2.87% to 4.84% in 13 months, and are still rising




**2.87%**
Aug-2025, a year before

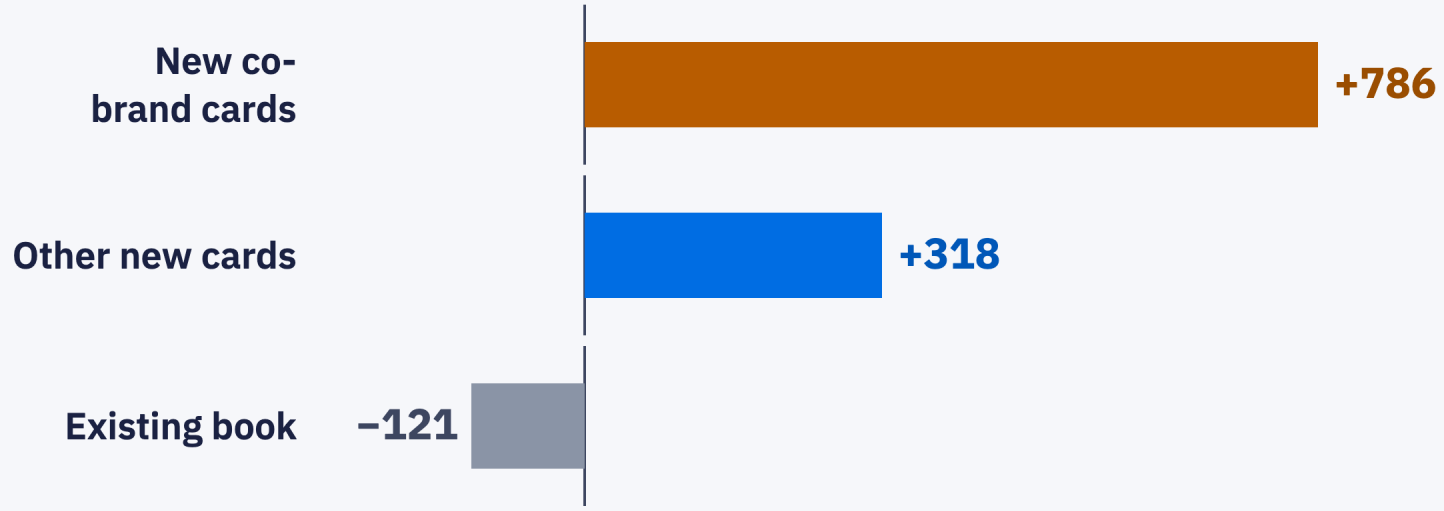
**4.63%**
Aug-2026, +1.76 pts in a year

**4.84%**
Sep-2026, the latest month

By balance the rate went 3.53% → 4.83%. Accounts carrying a balance grew from 18,164 to 32,581.

# Almost all of the rise is new cards, mostly co-brand; the existing book improved

Change in the number of 30+ DPD accounts, Aug-2025 → Aug-2026 (521 → 1,504, +983)

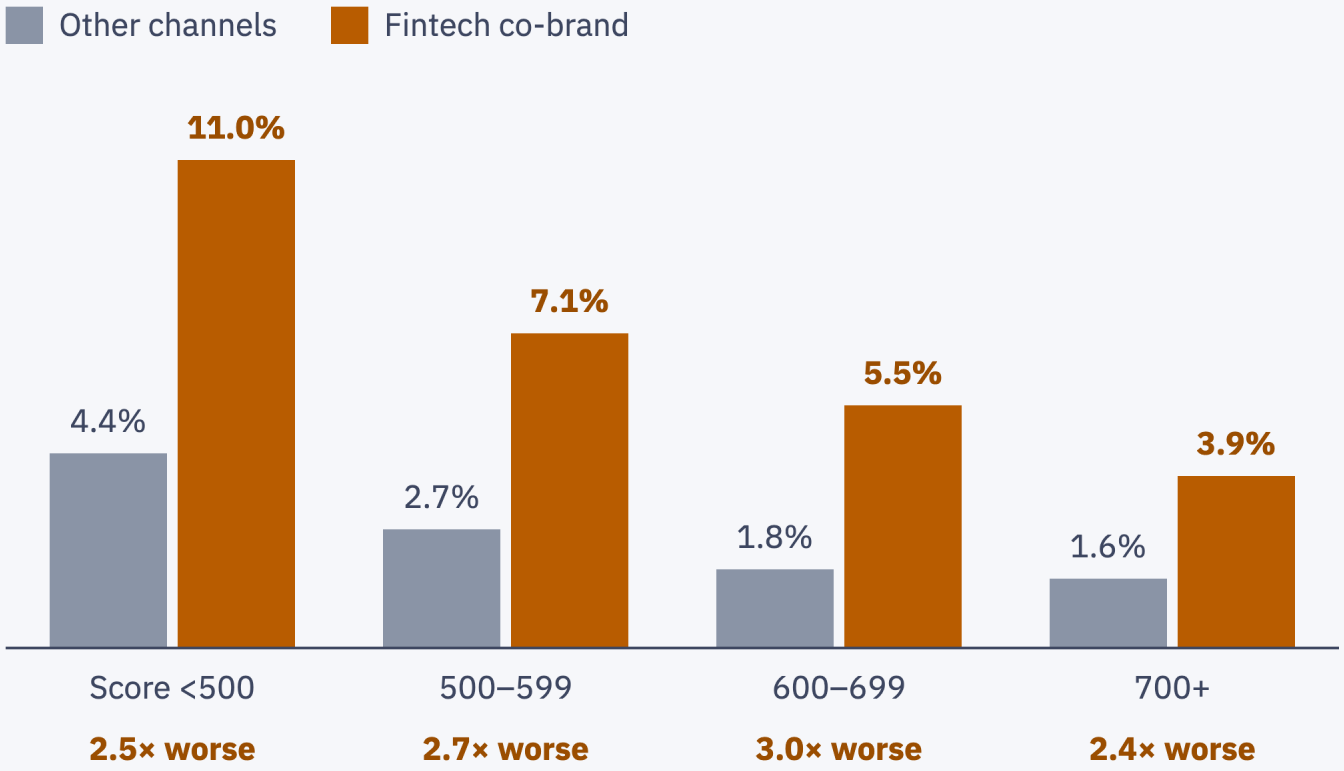



**30+ DPD RATE BY BOOK PART**

| Part | Aug-25 | Aug-26 |
|---|---|---|
| Existing | 2.94% | 2.48% |
| Co-brand | 4.25% | 9.32% |
| Other new | 1.40% | 3.10% |

New cards went from 21% to 63% of the book. In Aug-2025 most of them were too young to be 30 days late yet.

# Co-brand cards go bad 2.4–3.0× as often at the same bureau score: it is the channel




**91%**

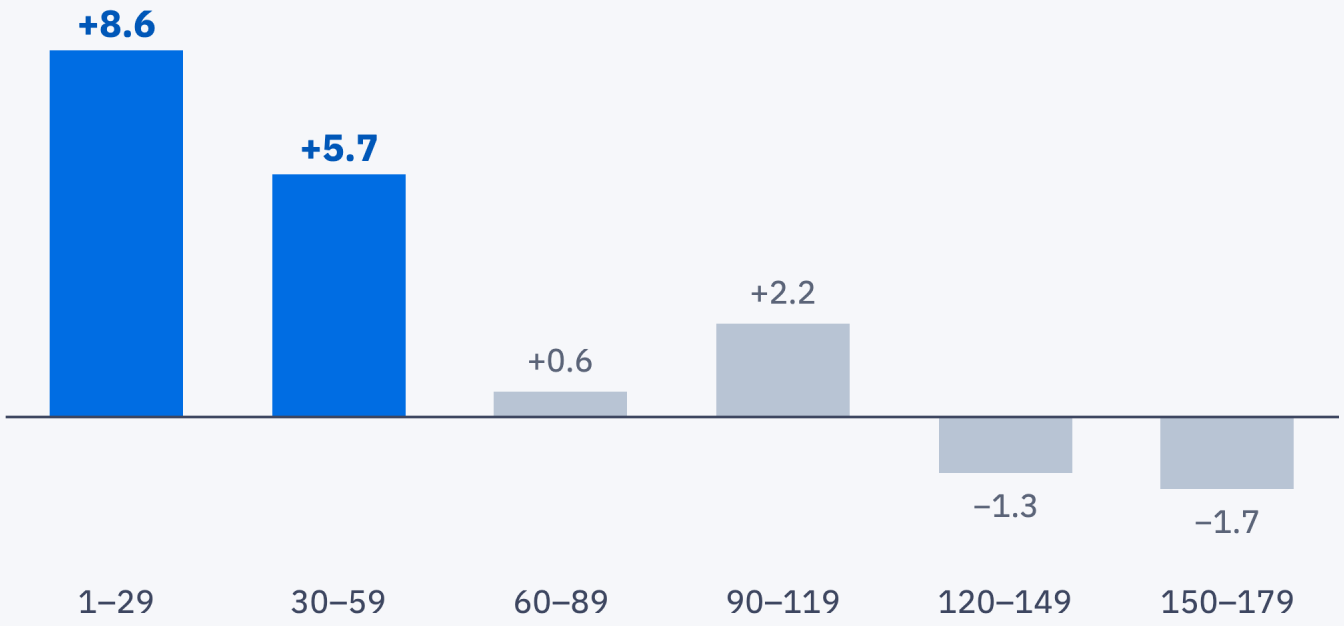
of the co-brand gap is still there after adjusting for bureau score

**30+ RATE, SEP-2026, 95% CI**

| Channel | Rate | 95% CI |
|---|---|---|
| Co-brand | 9.9% | 9.3–10.5% |
| DSA | 3.0% | 2.7–3.3% |
| Digital | 2.9% | 2.4–3.5% |
| Branch | 2.6% | 2.2–3.0% |

# A collections call helps at 1–59 days late, and makes no clear difference after 60

Extra cure rate from a call, % points (random test group – not called), by days late




Clear effect (p < 0.01)

Not significant (p > 0.1)

**Today's queue calls the biggest overdue first**

Average bucket called: **4.7** (90–149 days late), where a call shows no clear effect. Ordered by loss avoided: **1.8**.

Fair test: 1,614 accounts called at random vs 45,627 not called, matched on bucket, overdue and balance.

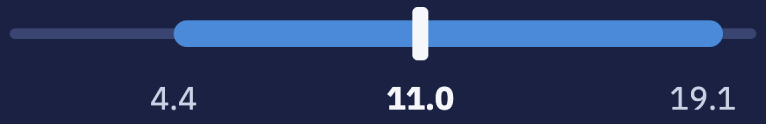
# Calling in order of loss avoided saves Rs 11.0 lakh a month, with the same team

## Rs 11.0 lakh

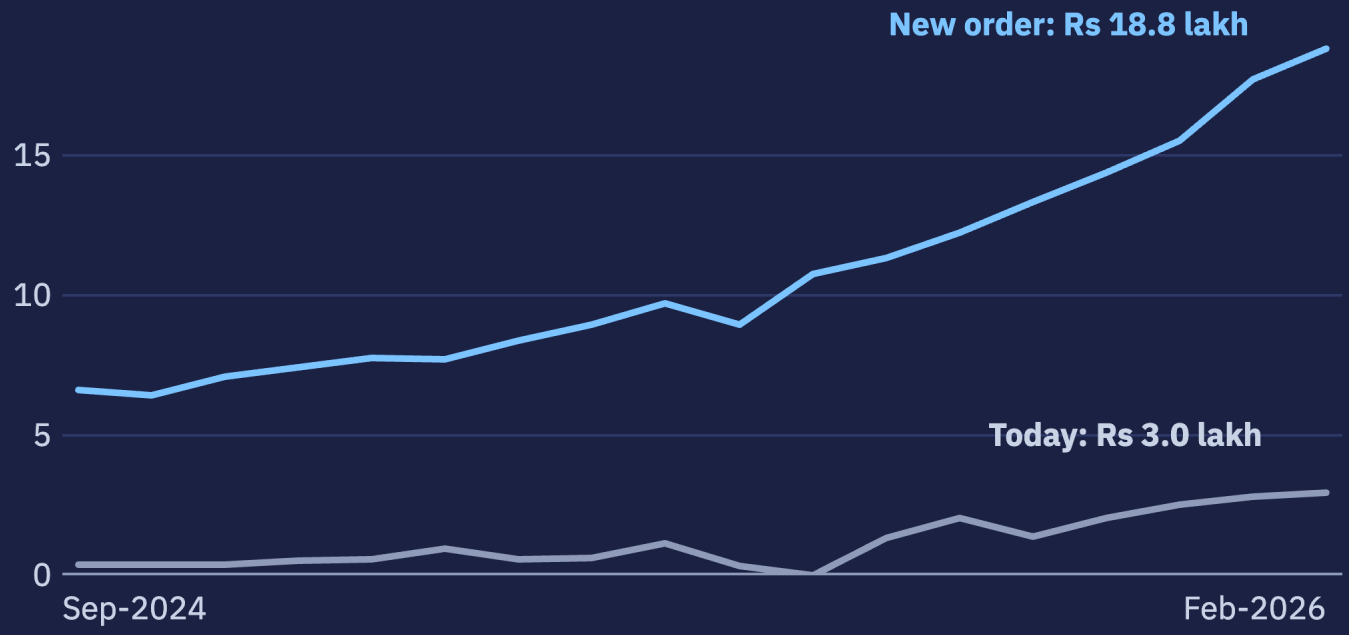
more loss avoided a month than today's order, about Rs 1.3 crore a year

Last 12 back-test months: **Rs 12.5 lakh** a month with the new order vs **Rs 1.5 lakh** today.

**RANGE FROM THE 95% CI OF THE CALL EFFECT**




Loss avoided a month in the back-test, Rs lakh (same 15% of the queue called)



# Approve differently, not less: a separate co-brand cut-off lowers the bad rate at the same volume

Bad rate (ever 60+ DPD within 12 months) under each policy, at the same approval rate

| Approval | Declined | One cut-off | Separate | Bad avoided |
|---|---|---|---|---|
| 85% | 3,820 | 3.20% | 3.00% | 294 → 338 |
| 90% | 2,540 | 3.40% | 3.13% | 208 → 269 |
| 95% | 1,258 | 3.54% | 3.41% | 129 → 161 |

Today, approving all of them: 3.87%. Cut-offs at 90%: bureau score 436 for every channel, or 610 for co-brand and 337 for the others.

**WHO CHANGES DECISION AT 90%**

**5.1% bad**

1,511 cards let in only by the separate cut-offs, none of them co-brand

**9.1% bad**

1,512 cards turned away only by the separate cut-offs, all of them co-brand

# Three actions, each with an owner, a measured impact and a safe first step

1 · COLLECTIONS

## Re-order the call queue by loss avoided

**Impact**

+Rs 11.0 lakh a month, range Rs 4.4–19.1 lakh

**First step**

Champion/challenger test on half the queue for 3 months

2 · CREDIT POLICY

## A separate cut-off for co-brand cards

**Impact**

Bad rate 3.13% vs 3.40% at 90% approval

**First step**

Re-check the cut-offs on new applications first

3 · PARTNERSHIPS + RISK

## Review the co-brand partner’s onboarding

**Impact**

Tackles the root cause: 9.9% late vs 3.0% or less elsewhere

**First step**

Compare the partner’s approval checks with our own channels

The monthly refresh updates the dashboard and the call list every month, so all three can be tracked from the next month on.

# What we don’t know yet, and how we would check it

| Limitation | How to check it |
|---|---|
| The cut-offs were chosen and tested on the same cards, and only approved cards have outcomes | Test them on new applications before rollout |
| The same-score test adjusts for bureau score only; co-brand also brings younger customers | Add age and income to the comparison; the channel’s share will be below 91% |
| The call value assumes the effect holds when many more early accounts are called | Champion/challenger on half the queue; compare cures and write-offs after 3 and 6 months |
| The back-test favours the new order: it is scored on the measure the new order maximises | The same live test, measured on actual write-offs, not on expected loss |
| Days late and collections data are simulated on top of real card data | Rerun the same SQL and notebooks on the bank’s real extracts |

# Appendix: data, method and definitions

## Data

| Table | Rows |
|---|---|
| customers | 103,136 |
| cards | 103,864 |
| statements | 3,576,437 |
| queue | 68,402 |
| calls | 20,559 |
| recoveries | 52,297 |

Monthly statements Nov-2018 to Sep-2026. Real Home Credit card data (Kaggle); days late and collections simulated.

## Method

1. PostgreSQL: load, 6 cleaning fixes, data-quality checks
2. Views and report tables, Wilson 95% CIs in SQL
3. Python notebooks: pandas, statsmodels, matplotlib
4. Random test group as an A/B test, two-proportion tests
5. Back-test of two call orders; swap-set for cut-offs
6. Tableau Public dashboard, Excel hand-off, one-command monthly refresh

## Definitions

**30+ DPD rate:** accounts 30+ days late ÷ accounts carrying a balance

**Cured:** late at the start of the month, on time on that statement

**LGD:** share of a written-off balance never recovered, 78.8%

**Bad rate:** ever 60+ DPD within 12 months of opening